

\$2,350 on the wages exceeding the threshold amount ($2.35 \text{ percent} \times \$100,000$) and \$190 on his unearned income ($3.8 \text{ percent} \times \5000). If his AGI is only \$202,000, then the tax on unearned income would be limited to 3.8 percent of the excess over the \$200,000 threshold amount, or \$76.